



MEHER SAMBALPURI FASHION

Weaving Tradition, Wearing Trust

EMPLOYEE HR POLICY HANDBOOK

Version 1.0 | Effective 1 April 2026

Registered Office: Sambalpur, Odisha, India

Fictional sample document created for a RAG (Retrieval-Augmented Generation) learning project.



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1. About the Company and This Handbook

- 1.1 Meher Sambalpuri Fashion ("the Company") is a textile and fashion enterprise headquartered in Sambalpur, Odisha. The Company designs, produces and sells handloom and power-loom Sambalpuri ikat (Bandha) sarees, dress materials, dupattas, stoles, men's wear and home furnishings, through its own showrooms, wholesale partners and online store.
- 1.2 Our vision is to preserve and promote Sambalpuri weaving heritage while building a fair, safe and modern workplace. Our values are Craftsmanship, Integrity, Respect, Sustainability and Community.
- 1.3 This handbook applies to all employees: permanent, probationary, contract, trainee and intern, across the head office, weaving units, dyeing unit, warehouse and showrooms. Contract workers are covered to the extent stated in their agreement.
- 1.4 The Company may amend this handbook from time to time. The HR department will announce changes by email and on the notice board. In case of conflict, applicable law prevails, followed by the employment letter, then this handbook.
- 1.5 For any HR question, contact the HR Department at hr@mehersambalpurifashion.example or dial extension 105 during working hours.

2. Employment and Classification

- 2.1 **Permanent employees** are hired on a regular basis after completing probation. **Probationary employees** are on probation for 6 months, which may be extended by up to 3 months. **Contract employees** are hired for a fixed term or project. **Trainees and interns** are engaged for learning, for 1 to 6 months, with a stipend. **Artisan weavers** may be employed or empanelled under the Artisan Partnership Programme (Section 15).
- 2.2 Every employee receives an appointment letter stating designation, department, salary structure, reporting manager, probation and notice period.
- 2.3 **Documents required at joining:** identity proof (Aadhaar), PAN, address proof, educational and experience certificates, relieving letter from previous employer, passport-size photographs, and bank account details.
- 2.4 Background verification may be carried out for office, finance, and showroom cash-handling roles. Furnishing false information is grounds for termination.
- 2.5 The Company is an equal opportunity employer and does not discriminate on the basis of gender, caste, religion, region, language, disability, marital status or age.
- 2.6 Employees are confirmed in writing after satisfactory probation review. If no communication is received after probation, the employee remains on probation until a written decision is given.
- 2.7 Notice period during probation is 15 days. After confirmation it is 30 days for staff and executives, and 60 days for managers and above.

3. Working Hours, Attendance and Overtime

Location	Working Days	Timings
Head Office and Design Studio	Monday to Saturday (alternate Saturdays off)	9:30 AM to 6:00 PM, 1 hour lunch
Weaving, Dyeing and Finishing Units	Monday to Saturday, shift based	Shift A 7:00 AM-3:00 PM, Shift B 3:00 PM-11:00 PM
Showrooms and Warehouse	6 days a week, weekly off by roster	10:30 AM to 8:30 PM in two staggered shifts

- 3.2 Total working hours do not exceed 48 hours a week or 9 hours a day, excluding rest intervals, in line with the Factories Act where applicable.

- 3.3** Attendance is recorded using the biometric system or the HR mobile app. Employees must mark attendance daily at entry and exit.
- 3.4** A **grace period of 15 minutes** is allowed, up to 3 times per month. A fourth late arrival, or arrival after the grace period, leads to a half-day leave deduction.
- 3.5** Absence without approval or information for 3 or more consecutive days is treated as unauthorised absence and may lead to disciplinary action, and abandonment of service after 7 days.
- 3.6** **Overtime** must be approved in advance by the Department Head. For workers, overtime is paid at **twice the ordinary rate of wages** as per law. For staff, approved overtime beyond 2 hours a day may be compensated by comp-off within 30 days.
- 3.7** Women employees will not be assigned to work between 8:00 PM and 6:00 AM unless they consent, and secure transport and security are provided.

4. Leave Policy

Leave Type	Entitlement per Year	Key Rules
Casual Leave (CL)	8 days	Max 3 days at a time. Cannot be carried forward. Not clubbed with sick leave beyond 5 days in total.
Sick Leave (SL)	8 days	Medical certificate needed for more than 2 consecutive days. Not encashable.
Earned / Privilege Leave (EL)	18 days (1.5 per month)	Accrues after probation. Up to 30 days carried forward. Encashable at exit or on retirement. Apply 7 days in advance for 3+ days.
Maternity Leave	26 weeks for first two children, 12 weeks thereafter	As per Maternity Benefit Act. Applicable to women with 80 days of service in the previous 12 months.
Paternity Leave	10 working days	Within 6 months of childbirth or adoption. Available to permanent employees.
Marriage Leave	5 days	Once during employment, for the employee's own marriage.
Bereavement Leave	5 days	For death of spouse, child, parent or sibling.
Compensatory Off	As earned	Earned for approved work on weekly off or holiday. Must be used within 30 days.
Leave Without Pay (LWP)	Up to 30 days	Only with Managing Director's approval after leave balance is exhausted.

- 4.2** Leave is applied through the HR app and approved by the reporting manager. Sundays and public holidays falling within a leave period are not counted, except in case of sick leave exceeding 7 days.
- 4.3** Leave year runs from 1 April to 31 March. New joiners receive leave on a pro-rata basis.
- 4.4** Unapproved leave is treated as LWP, and repeated instances may attract disciplinary action.

5. Holidays and Festivals

- 5.1** The Company observes **12 paid holidays** per year, announced each January. These include Republic Day (26 Jan), Holi, Utkal Dibas (1 April), Independence Day (15 Aug), Rath Yatra, Nuakhai (a major Western

Odisha festival), Gandhi Jayanti (2 Oct), Durga Puja (Dussehra), Diwali and Christmas.

- 5.2 Employees may also choose **2 optional holidays** from a published list of regional and religious festivals, such as Sitalsasthi, Raja Parba, Eid, Guru Nanak Jayanti and Good Friday.
- 5.3 Showroom and e-commerce teams may be required to work on peak festive days like Diwali and Nuakhai for retail demand, and are given a compensatory off or double pay.
- 5.4 Festive season is our peak sales period (September to November, and the wedding season from November to February). Planned leave during these months is subject to manager approval based on business needs.

6. Compensation, Payroll and Statutory Benefits

- 6.1 Salary is paid on or before the **7th of the following month** by bank transfer. Payslips are issued through the HR app. If the 7th is a holiday, payment is made on the preceding working day.
- 6.2 Salary structure includes Basic (40-50% of CTC), House Rent Allowance, Special Allowance and statutory benefits. Variable pay applies to sales, showroom and management roles.
- 6.3 **Provident Fund (PF):** The Company and employee each contribute 12% of basic wages, as per the EPF Act, for eligible employees.
- 6.4 **ESI:** Employees earning up to Rs. 21,000 per month are covered by ESI for medical and maternity benefits, with contributions from both employee and employer.
- 6.5 **Gratuity:** Payable after 5 years of continuous service as per the Payment of Gratuity Act (15 days of last drawn basic salary for every completed year).
- 6.6 **Annual Bonus:** Eligible employees receive a statutory bonus of 8.33% to 20% as per the Payment of Bonus Act. In addition, a **Festival Gift**, such as a Sambalpuri saree or fabric voucher, is given at Nuakhai or Diwali.
- 6.7 **Employee Discount:** Employees receive **30% off** on Company products for personal use, up to Rs. 50,000 per year, and 15% on sale items. Products purchased cannot be resold.
- 6.8 **Tax:** TDS is deducted as per the Income Tax Act. Employees must submit investment proofs by 31 January each year.
- 6.9 **Salary advance:** Up to one month's basic salary may be advanced for emergencies after 6 months of service, recovered in up to 6 instalments.
- 6.10 Increments are reviewed annually in April, based on performance and Company results. An increment is not guaranteed.

7. Performance Management and Career Growth

- 7.1 Performance is reviewed twice a year: a mid-year check-in in October and an annual appraisal in March.
- 7.2 Goals are set using KRAs (Key Result Areas) agreed between employee and manager at the start of each year.
- 7.3 Ratings follow a 5-point scale: Outstanding, Exceeds Expectations, Meets Expectations, Needs Improvement, Unsatisfactory.
- 7.4 Employees rated Needs Improvement or below are placed on a 90-day Performance Improvement Plan (PIP) with clear targets and support.
- 7.5 Promotions are based on performance, skills, role availability and tenure, normally after a minimum of 2 years in a grade.
- 7.6 Internal job postings are shared with all employees first. Eligible employees may apply after 12 months in their current role.
- 7.7 **Referral bonus:** Rs. 5,000 is paid for a successful referral who completes 6 months, and Rs. 10,000 for senior and design roles.

8. Learning, Skill Development and Craft Heritage

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- 8.1 Every employee is entitled to at least **3 training days** per year, including on-the-job, online and classroom learning.
 - 8.2 The **Craft Immersion Programme** gives every new head-office and showroom employee a 2-day orientation on Sambalpuri ikat, tie-and-dye (Bandha), natural dyes, and weaving, at our weaving unit.
 - 8.3 The Company will reimburse up to **Rs. 25,000 per year** for approved job-relevant certifications (fashion design, merchandising, digital marketing, accounting, etc.). A service bond of 12 months applies if reimbursement exceeds Rs. 15,000.
 - 8.4 Weavers and floor workers receive skill training on new looms, quality checks, safe use of dyes and design innovation, conducted with local craft and textile institutions.

9. Code of Conduct and Ethics

- 9.1 Employees must act with honesty, respect and professionalism, and follow all laws and Company rules.
- 9.2 **Conflict of interest:** Employees must not hold interests in competing businesses, suppliers or vendors without written approval from HR.
- 9.3 **Gifts:** Gifts or hospitality worth more than Rs. 2,000 from vendors, customers or suppliers must be declined or declared to HR. Cash gifts are never allowed.
- 9.4 **Authenticity:** Products must not be misrepresented. Employees must never label power-loom or machine-made products as handloom, and must follow GI (Geographical Indication) and Handloom Mark rules for Sambalpuri textiles.
- 9.5 **Confidentiality:** Design patterns, weaving techniques, dye recipes, customer data, pricing and supplier details are confidential, and remain so after leaving the Company.
- 9.6 **Intellectual property:** Designs, motifs and content created during employment belong to the Company.
- 9.7 **Whistleblower:** Employees can report fraud, malpractice or violations at ethics@mehersambalpurifashion.example. Reports are handled confidentially and retaliation is strictly prohibited.
- 9.8 **Social media:** Employees must not post confidential information or speak on behalf of the Company online without authorisation from the Marketing Head.

10. Prevention of Sexual Harassment (POSH) and Respectful Workplace

- 10.1 The Company has zero tolerance for sexual harassment, in line with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.
- 10.2 An **Internal Committee (IC)** is formed at head office and at each unit with 10 or more employees. It is headed by a senior woman employee and includes an external member from an NGO or legal background.
- 10.3 A complaint can be made in writing to the IC within 3 months of the incident (extendable by 3 months for valid reasons). The IC completes its inquiry within 90 days.
- 10.4 Complainant and witness identities remain confidential. Interim relief, such as a change of reporting line or leave, can be provided.
- 10.5 The Company also prohibits bullying, ragging of new joiners, discrimination, abusive language, and any form of violence.
- 10.6 All employees complete POSH awareness training once a year.

11. Grievance Redressal

- 11.1 Step 1: Raise the concern with your reporting manager. Step 2: If unresolved in 7 working days, escalate to the HR Department. Step 3: If unresolved in 15 working days, escalate to the Grievance Committee headed

by the Managing Director.

- 11.2 A written grievance is acknowledged within 2 working days and resolved within 15 working days wherever possible.
- 11.3 Employees may also use the anonymous suggestion box or email at voice@mehersambalpurifashion.example. No employee will be penalised for raising a genuine grievance.
- 11.4 Workers may also approach their elected Works Committee representative.

12. Disciplinary Action and Termination

- 12.1 Misconduct includes theft, fraud, falsifying records, violence, harassment, substance abuse at work, repeated absence, breach of safety rules, selling or marking products falsely and breach of confidentiality.
- 12.2 Action may include verbal warning, written warning, suspension, withholding of increment or promotion, demotion, and termination.
- 12.3 Before serious action, a **show-cause notice** is issued, the employee gets a reasonable chance (normally 3 working days) to respond, and an inquiry is held where needed, following natural justice.
- 12.4 Termination for gross misconduct may be without notice. Termination for performance follows a PIP. The Company may also end employment by paying notice pay in lieu of the notice period.
- 12.5 Retrenchment and closure are governed by applicable labour law.

13. Health, Safety and Environment (Factory and Showroom)

- 13.1 Safety is a top priority at the Company. Every employee must follow safety rules, use required protective equipment and report hazards immediately.
- 13.2 **Weaving and spinning area:** Wear closed footwear and hair covering. Keep hands away from moving looms and shuttles. Cotton dust and lint must be cleaned regularly. Use ear protection where noise exceeds 85 dB.
- 13.3 **Dyeing and chemical area:** Wear gloves, aprons, masks and goggles. Dyes and chemicals must be labelled, stored safely and used only by trained staff. Safety Data Sheets are displayed. Azo dyes banned under export norms are not permitted.
- 13.4 **Fire safety:** Fabric, yarn and cotton are highly flammable. Smoking is prohibited inside premises. Fire extinguishers are inspected monthly and fire drills held twice a year. Emergency exits must never be blocked.
- 13.5 **First aid and medical:** First-aid boxes are available in every unit. An annual health check-up is offered to all factory workers, and a tie-up with a nearby hospital is maintained for emergencies.
- 13.6 **Accidents:** All injuries and near-misses must be reported to the Supervisor and HR within 24 hours. The Company bears treatment costs for workplace injuries, as per the ESI and Employees' Compensation Act.
- 13.7 **Sustainability:** The Company promotes natural and azo-free dyes, water recycling through an Effluent Treatment Plant, minimal waste, and reuse of fabric cut-pieces in accessories.

14. Employee Welfare and Wellbeing

- 14.1 **Group Medical Insurance:** Rs. 3 lakh cover per employee, for spouse, and two children, paid by the Company. Parents can be added at employee's cost.
- 14.2 **Group Accident Insurance:** Rs. 10 lakh cover for all permanent employees.
- 14.3 **Canteen:** Subsidised meals and tea are provided at the head office and units.
- 14.4 **Transport:** Shuttle service is provided on key routes from Sambalpur city to the units.
- 14.5 **Creche:** A creche is available at the main unit for children under 6 of women employees, as required by the Maternity Benefit Act.

14.6 Employee Assistance: Free and confidential counselling for stress, family and financial concerns is available through a partner counsellor.

14.7 Scholarship: Merit scholarship of Rs. 10,000 per year for up to two children of workers studying in Class 10 or above.

14.8 Recognition: Annual awards include Best Weaver, Best Designer, Star Showroom Performer and Safety Champion.

15. Artisan Partnership Programme

15.1 The Company works with local weavers, dyers and tie-and-dye artisans of Sambalpur, Bargarh, Subarnapur and nearby districts, both as employees and empanelled partners.

15.2 Empanelled artisans receive fair piece-rate or wage payments, with payment made within 15 days of delivery and quality acceptance. Advance for raw yarn may be provided.

15.3 Artisans are encouraged to join Weaver Cooperative Societies and are supported in registration for Handloom Mark, GI certification and government schemes such as Pehchaan ID cards.

15.4 Women weavers are given priority in skilling programmes, flexible work and self-help group linkages.

15.5 The Company does not permit child labour or bonded labour in its supply chain. Any person below 18 years shall not be employed in hazardous work.

16. Dress Code, Workplace Etiquette and Facilities

16.1 Head office employees follow business casual attire. **Every Friday is Handloom Day**, when employees are encouraged to wear handloom or Sambalpuri garments.

16.2 Showroom staff wear the Company uniform or designated traditional wear, with name badge, and must be well groomed.

16.3 Factory staff wear provided uniform, safety shoes and ID cards at all times.

16.4 Employees must keep their workspace clean and treat colleagues and customers courteously. Personal mobile use on the production floor is restricted.

17. IT, Data Privacy and Information Security

17.1 Company laptops, email, software and the internet are for business use. Limited personal use is allowed if it does not affect work or security.

17.2 Passwords must not be shared. Use strong passwords and multi-factor authentication where enabled. Report lost devices or suspected phishing to IT within 1 hour.

17.3 Customer data, such as phone numbers, addresses and order history, must be protected in line with the Digital Personal Data Protection Act, 2023. It must be accessed only for authorised business purposes.

17.4 Installing unlicensed software, using unauthorised cloud storage or copying Company data to personal devices is prohibited.

17.5 The Company may monitor systems for security and compliance purposes, as permitted by law.

17.6 Use of generative AI tools is allowed for productivity, but confidential designs, customer data and financial data must not be entered into public AI tools.

18. Travel, Expenses and Reimbursements

18.1 Business travel must be approved in advance by the manager. Travel for exhibitions, trade fairs and buyer meetings is covered.

Grade	Rail/Bus	Hotel (per night)	Daily Allowance
Executive	Sleeper / AC 3-tier	Rs. 2,500	Rs. 500
Manager	AC 2-tier	Rs. 4,000	Rs. 800
Senior Manager and above	AC 2-tier / Economy flight	Rs. 6,000	Rs. 1,200

18.3 Expense claims with original bills must be submitted within 10 days of return and are settled with the next payroll. Claims without bills require a written declaration and are capped at Rs. 500.

18.4 Personal expenses, fines, alcohol and entertainment are not reimbursable.

18.5 Mobile and internet reimbursement of Rs. 500 to Rs. 1,000 per month is provided to eligible roles such as sales, marketing and management.

19. Remote Work and Flexibility

19.1 Design, marketing, finance, HR and IT employees may work from home up to 2 days a week with manager approval. Production, warehouse and showroom roles are on-site.

19.2 Remote employees must be available during core hours (10:30 AM to 4:30 PM) and follow IT security rules.

19.3 Temporary flexible timings may be granted for medical, caregiving or special circumstances, subject to manager and HR approval.

20. Resignation, Exit and Full and Final Settlement

20.1 Resignation must be submitted in writing to the reporting manager and HR. Resignation is effective after the notice period is served. Buyout of notice period is allowed with Management approval.

20.2 An exit interview is held in the last week of service. Employees must return all assets, ID card, laptop, uniform, keys and documents, and obtain clearance from IT, Finance, Admin and HR.

20.3 Full and Final settlement including salary, leave encashment, bonus and gratuity (where eligible) is paid within **45 days** of the last working day, after clearance.

20.4 Relieving letter and experience certificate are issued after settlement. PF transfer and withdrawal support is provided by HR.

20.5 Retirement age is 60 years. Employees who complete 10 years of service are eligible for a farewell and a service award.

20.6 Ex-employees are covered by confidentiality for 2 years. Non-solicitation of customers and artisans applies for 12 months for managerial roles.

21. Quick Reference: Key Numbers

Topic	Quick Answer
Salary date	By the 7th of every month
Probation	6 months (extendable by 3)
Notice period	15 days (probation), 30 days (staff), 60 days (managers+)
Annual leave	8 CL + 8 SL + 18 EL = 34 days, plus 12 holidays + 2 optional
Late mark grace	15 minutes, 3 times per month
Maternity leave	26 weeks (first two children)
Employee discount	30% on Company products (cap Rs. 50,000 per year)
Training budget	Rs. 25,000 per year, 3 training days
Medical insurance	Rs. 3 lakh family floater
Gratuity	After 5 years of service
F&F; settlement	Within 45 days of last working day
Work from home	Up to 2 days a week for eligible roles
HR contact	hr@mehersambalpurifashion.example, ext. 105

Acknowledgement: I have read and understood the Meher Sambalpuri Fashion HR Policy Handbook and agree to follow it.

Employee Name: _____ Signature: _____ Date: _____